

PwC DBAC – Case Study 3

Submission Template

Question 1:

- a) Based on the case of ABC Limited, identify five major stakeholder groups that are most relevant to the Company's operations and ESG journey.
- b) From your list in Question 1. a, choose any two stakeholder groups and briefly mention one key ESG-related expectation that each of these groups is likely to have from ABC Limited.

a) Based on the case of ABC Limited, five major stakeholder groups that are most relevant to the operations and ESG journey are:

- **Regulators/Government**
- **Institutional Investors**
- **Supply Chain Workers & Partners** (tier-2 suppliers)
- **Digital Communities & Online Activists** (NGOs)
- **Employees/Customers.**

b)

- **Regulators:** Demand strict compliance with environmental laws (such as emissions standards), timely disclosures, and highly ethical corporate conduct.
- **Supply Chain Workers & Partners:** Expect a focus on fundamental human rights, safe working conditions, fair contracts, and equitable wages without excessive overtime

Question 2: In the context of ABC Limited, what types of board training and external advice should be obtained to show that the Board has exercised due care and made well-informed decisions?

To demonstrate due care, the Board should undergo mandatory training covering topics such as **ESG integration, corporate governance, digital awareness, and crisis management**. For external advice, the Board must hire independent external experts such as environmental auditors and labor rights specialists to objectively validate emission claims and supply chain practices, ensuring unbiased oversight separate from internal management.

Question 3: Discuss the main advantages and possible pitfalls of ABC Limited using digital dashboards to monitor ESG performance and stakeholder-related metrics.

Advantages: Digital dashboards enable **real-time data access**, significantly improving transparency and the ability to track compliance like CO₂ emissions and safety incidents. They allow the Board to make **faster, data-driven decisions** with reliable information

Pitfalls: A primary risk is **poor data quality**, which can severely impact decision-making. Additionally, integrating these digital systems increases exposure to **cybersecurity threats and data breaches**, and boards may fall into the trap of over-relying on automated metrics while missing qualitative ethical or cultural red flags.

Question 4: The case law highlights that the Company cannot rebuild trust through reactive one-off gestures; what additional board-level actions would you recommend to restore and sustain stakeholder trust over the long term?

To sustain long-term trust, the Board must move beyond temporary fixes by:

- Tying executive compensation to ESG targets to enforce leadership accountability.
- Publishing third-party verified sustainability and ESG reports to ensure absolute transparency.
- Setting a stakeholder-inclusive purpose and long-term direction that integrates ESG into the core business strategy.
- Adopting Collaborative and Transformational Engagement strategies, which means partnering directly with stakeholders to co-create solutions to consistently monitor and address stakeholder expectations and drive mutually beneficial, long-term change

Question 5: The NGO report triggered intense online scrutiny from digital communities and activists. How should the Company's board and management strategically approach these nontraditional stakeholders?

Here is the strategic approach the Company's board and management should take, outlined in points:

- **Apply the Stakeholder Salience Model:** Classify digital communities, online activists, and NGOs as high-salience stakeholders. Because they have a high level of urgency and the power to shape public opinion very quickly, they cannot be ignored and require immediate attention.
- **Adopt Responsive Engagement:** The management must strategically use "Responsive Engagement" by actively listening to the activists' concerns and swiftly, transparently addressing their grievances.
- **Utilize Informative Engagement:** Use an "Informative Engagement" strategy to proactively share information. Keep these nontraditional stakeholders consistently updated on the corrective actions and compliance improvements the company is making.
- **Implement Continuous Social Media Monitoring:** Use social media monitoring as a tool to continuously track online sentiment and understand the stakeholders' expectations. This allows the company to engage early, consult regularly, and manage reputational risks decisively before they escalate into larger crises